Gmail

Ade Adejimi <ade.adedo@gmail.com>

Trucycle Ltd - Advance Assurance Review

1 message

Reni Asumah <reni@seedlegals.com> Wed, Nov 19, 2025 at 1:35 PM
To: ade.adedo@gmail.com

Hi Ade,

Thanks for sending us your Advance Assurance application. We have checked your answers to the questions and your supporting documents for Trucycle Ltd against HMRC's requirements for S-EIS eligibility.

Your application is well presented. However, we suggest you complete the following steps to give your application the best possible chance of success.

Questions:

1. **General Disclaimer:** If your company has a website live or has a social media account, please ensure that no information presented on it contradicts the information given to HMRC within this application.

2. **UTR Number:** Please note we have no way to confirm any UTR numbers. It is your responsibility to ensure this is correct and not a personal UTR. You can double-check this with your accountant if you are unsure of what this number is.

3. **Company Address:** I see that your company is registered with this address 86-90 Paul Street, London, United Kingdom, EC2A 4NE. HMRC usually views this official registered address to be a virtual office facility. Can I confirm if your company has any other physical office space you work from or have intentions to have a different physical office space anytime soon? If you can leave some brief details about this (particularly a UK address where you work from) within your deck, it would be useful for HMRC to see this information and avoid asking further questions on this.

4. **Proposed Investor:** I noted that the potential investor you've included shares a similar surname to yours, namely Adedipupo Adejimi. Could you kindly clarify this? As this may cause further inquiry from HMRC - as parents, children and spouses are excluded from SEIS and EIS (siblings, cousins, and aunts/uncles are fine).

    i. If Adedipupo Adejimi does qualify, then it's no issue to leave them on the application. I would, however, recommend including writing a cover letter (3-4 sentences) detailing his relationship to you and uploading this to the supporting documents section, which can be accessed here.

    ii. However, if you have another un-related potential investor, it may be best to include them instead.

5. **Cap Table:** Please ensure that you set up your Cap Table under the Shares Tab on the platform. HMRC requires you to submit a List of Shareholders with your Advance Assurance application - to show the state of the cap table at the date of your application submission. Our platform generates this PDF List of Shareholders automatically based on the Cap Table you set up on the Platform. If your cap table is not up to date, then please see how to set up and edit your cap table in this article.

6. **Continuation of trade:** There should be no continuation of trade between the directors' current company and other businesses in the past (**active or dissolved, resigned or active directorship)** and this may affect your SEIS eligibility. Please clarify if there are any companies your directors are currently or were a part of, that share a similar business purpose?

Pitch Deck:

1. From our understanding, your company is an innovative waste management platform aiming to revolutionize the waste ecosystem by optimizing the uptake, reuse, and upcycling of repairable electronic/furniture household waste in London. The company uses a service-based revenue model with three streams: a Subscription Service for convenient waste collection, Compliance Service for households and businesses, and Platform Sales from the direct resale of upcycled furniture and repaired electronics via its e-commerce channel. Is this correct?

2. **Pitch deck size:** Thank you for including your pitch deck, you've done a really great job putting this together. Please note the file size of 35 MB is too large, please reduce this (we suggest www.ilovepdf.com/) to under 10 MB as anything larger than 10MB cannot be submitted to HMRC via their online portal.

3. **Revenue generation:** Thank you for including your Revenue Model on slide 11. Recently, we've seen additional scrutiny from HMRC with respect to the business model of a given company. As such, we would advise including information explicitly detailing your pricing structure for each revenue stream.

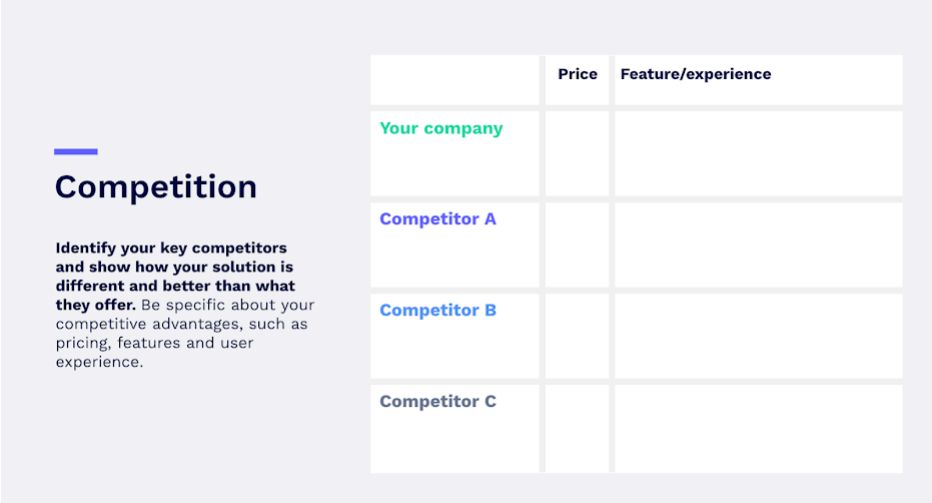
4. **Collaboration**: Please note HMRC does sometimes push back with the word "collaboration" as well "partners" or "partnerships",. The key to avoiding confusion in this matter is to clearly (but briefly, if you wish) describe what your relationship with an entity constitutes. As a completely hypothetical example, instead of calling entity X a "partner" or "collaborator", this relationship can be described as "X supplies us with materials such as Y and Z". Addressing it in this manner should completely avoid the implication of a legal partnership when one does not exist. As such, we would suggest avoiding "collaborator" or "collaboration" on your pitch deck. **Please see slides 6 and 9.**

5. **Trade Start Date:** I noticed on slide "Achievements" (slide 6) of your pitch deck, you reference that TruCycle launched its platform in Q3 2025. Could you please confirm whether the platform is currently available for customer use? If so, HMRC would generally consider this as the commencement of trading.

    a. In that case, please update your response in the questionnaire under **'Has trade started yet'** to **'Yes'**, and include the date the platform became available to customers as your trade start date.

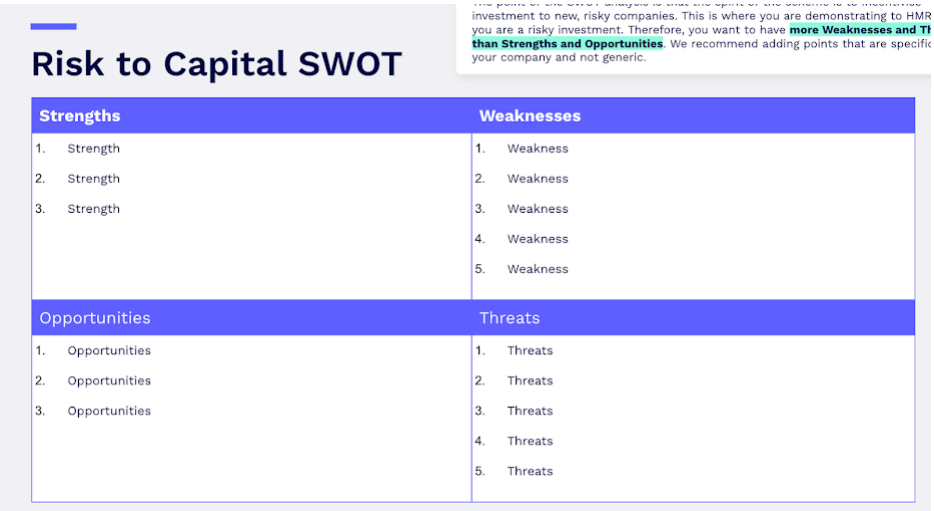
    b. Once updated, please click through the questionnaire to save the changes.

6. **Competitors:** We usually see a slide identifying your key competitors and showing how your solution is different/better. I would recommend that you include a simple slide on your Competitors. Please see an example below:



7. **SWOT Analysis:** Thank you for including your SWOT analysis on slide 10. We've seen HMRC place greater scrutiny on the Risk to Capital so I advise adding a few more weaknesses and threats (3 points each) to your SWOT Analysis to efficiently demonstrate the high risk your business has and the need for the SEIS and EIS

schemes to incentivise investors. We generally recommend utilising a ratio of 5:3 weaknesses and threats to strengths and opportunities to emphasise the risk-to-capital. Please see the example below.



Risk to Capital SWOT

investment to new, risky companies. This is where you are demonstrating to HMR
you are a risky investment. Therefore, you want to have **more Weaknesses and Th**
than Strengths and Opportunities. We recommend adding points that are specific
your company and not generic.

Strengths	Weaknesses
1. Strength	1. Weakness
2. Strength	2. Weakness
3. Strength	3. Weakness
	4. Weakness
	5. Weakness

Opportunities	Threats
1. Opportunities	1. Threats
2. Opportunities	2. Threats
3. Opportunities	3. Threats
	4. Threats
	5. Threats

8. **Use of Funds:** Thank you for including your use of funds on slide 12. This is very well presented, though we recommend adding a more detailed breakdown of the allocation, either by £ or %, presented as a simple pie chart or table, highlighting the key spending categories. Specifically addressing how the company will spend the SEIS investment e.g. on marketing, sales, R&D, new hires etc. to grow the business. In our experience, including 2-3 brief examples in brackets next to each category (e.g. salaries, hiring new employees etc) is sufficient to provide additional context. Please see the example below.

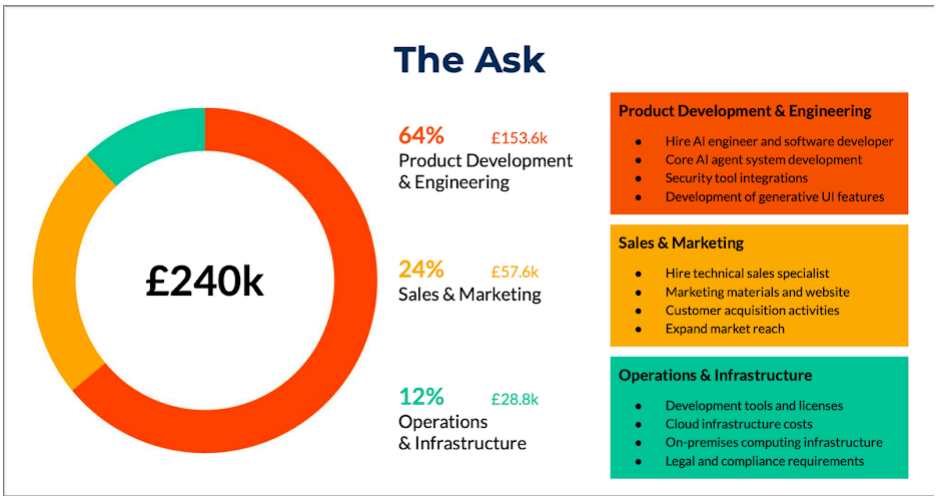
    a. **Equipment:** Within your use of funds, I noted you referenced acquiring equipment. Please note, usually, S-EIS funds cannot be used to purchase assets/equipment (this is because the company may be able to sell on the asset and so benefit twice-over, so the asset should not be held mainly with a view to its disposal). Generally, HMRC views the purchase of assets with S-EIS funds as an excluded activity.

    Essentially, it is important to clarify in your pitch deck how much of the funds you plan to spend on purchasing equipment and that this amount is not disproportionate to the other operational activities you plan to spend the funds on. I would suggest providing this detail in your 'Use of Funds' slide/page in your pitch deck.

    In any case, no more than 15% should be spent on assets.

    You can read more about HMRC's guidance on this in the VCM here.

    Therefore, if you are planning to spend money on assets/equipment, we recommend including a disclaimer such as; ***'Expenditure on X is essential to the trading activity. X will not be resold and will likely depreciate in value.'***.



9. **Financial Projections:** Thank you for including your financial forecast on slide 13. HMRC is looking for a reason **why you need the investor funds** in the first place. This is something you need to convince them of (the burden lies on you to show this, otherwise HMRC will likely not accept your application). This is usually done through including a financial projections table within the pitch deck. I attach a screenshot of an example of how the financial projections table should be presented below for your reference. This table needs to set out the **projections for the next 3 years** from **the time of application.**

    a. **Here is a helpful short video explaining the financial projections to include in your application.** Please note the following when drawing this up:

    b. **The funding gap:** please note that from our experience, HMRC are looking for one overall impression of your application that you **need** the incentive of the tax relief to attract investors. Therefore, HMRC is looking for a reason **why you need the investor funds** in the first place. This is something you need to convince them of (the burden lies on you to show this, otherwise HMRC may not accept your application).

        Since you're applying for £400k SEIS/EIS, I suggest that you include a breakdown of how you plan on spending these funds within your 'projected costs' - for example £50k on marketing, £25k on R&D etc. Please make sure that these figures **(a)** add up to a loss of £400k within the first 2 years of your P&L and **(b)** match the 'use of funds' slide (a separate breakdown of how you intend to spend the SEIS/EIS funds). **The funding gap should be shown by the net losses of the first two years. This is because you have 2 years to spend the S/EIS funds.**

    c. Finally, I would encourage you to keep your projected revenue as **conservative as possible** (since they are based on assumptions/speculation in any case). This will allow you to highlight the funding gap and strengthen your overall argument that you are a **high risk business in need of the funding.** Please also be aware that HMRC treats a projected annual profit exceeding £1m as a benchmark for higher scrutiny (meaning further inquiry into your financials, asking why exactly you need the incentive of the scheme in the first place).

    d. Below is an example of a Financial Projection table where the raise amount was £300k, with the funding gap illustrated by showing a **Net Loss** of just over £300k across Years 1 and 2.

FINANCIAL PROJECTIONS

Three-year financials forecast

GBP	Year 1	Year 2	Year 3
Revenue Streams			
Enterprise Subscriptions	-	75 000	180 000
SME Subscriptions	60 000	110 000	225 000
Total Revenue	**60 000**	**185 000**	**405 000**
Operating Expenses			
R&D Costs (non-salaries)	(25 000)	(35 000)	(45 000)
Sales & Marketing	(25 000)	(60 000)	(95 000)
Employee Salaries	(140 000)	(180 000)	(240 000)
Other Operating Costs (incl. travel expenses)	(25 000)	(32 500)	(42 500)
Legal & Professional	(12 500)	(17 500)	(22 500)
Total Costs	**(227 500)**	**(325 000)**	**(445 000)**
Net Profit / (Loss)	**(167 500)**	**(140 000)**	**(40 000)**

10. **Future raise:** If this is your first Advance assurance application, we recommend that you include a note in your Pitch deck that you intend to continue raising EIS funds over the next >7 years as the company grows and scales. This will then likely enable you to benefit from Condition A under EIS (see here for more information), and thus continue raising EIS even after your initial 7-year deadline expires.

    a. This can be a really simple note, such as ***"[company name] intends to continue raising EIS funds over the next >7 years as the company grows and scales"***

General Notes:

Please amend your pitch deck and application only based on the points flagged above in my review. **We will not re-review the entire application, so ensure you make only the recommended adjustments.** If you make any additional adjustments, please let me know in your response.

Once you have worked on these changes, please send all the amended documents to me and I would be happy to complete a re-review of the application. Note that I will only be able to conduct the full re-review upon receiving all the amended documents. This can take up to **5 working days to complete.**

Once the documents have been finalised, I will submit the application on your behalf to HMRC's online Advance Assurance portal and let you know once this is done. Once submitted, your application should be processed within 15 working days. (Though they can take as long as 40 working days in more complex cases.)

Please note S-EIS is given at the discretion of HMRC. Our advice is based on the Tax Legislation, our internal data and extensive experience.

I will update you once your application has been submitted and as soon as HMRC have come back with a response to your application.

Please let me know if you have any queries.

Best,

Reni Asumah

CX Associate - S/EIS

reni@seedlegals.com

SEEDLEGALS

UK | France | Ireland | Hong Kong | Singapore

For all urgent or quick questions please reach out to the team through the chat bubble on **SeedLegals** for more detail.

SeedLegals does not provide legal, financial, tax or investment brokerage advice. We provide information and access to industry standard documents, which should not be used as a substitute for qualified legal, tax or accounting advice. See our **Terms** for more detail.